Number		
1 (a) (i)	**AO1 - 1 mark** **D** Human Resources	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **B** Selling assets	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **C** Cost of sales	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **A** Taxation	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C** 250%	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D** S$42.08	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • An increase in average cost per units **(1)**.	**(1)**

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Type MS · Measuring business success

Answer 1 of 13 · Question 1 part f · 3 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • A method of production that involves completing one unit of output at a time **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a financial method of motivation *Artify Studio* could use to motivate its employee in the context of the business. • Employees could be given commission for any art materials they sell **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 285 x 0.12 = 34.20 **(1)** 285 – 34.20 = 250.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Measuring business success

Answer 1 of 13 · Question 1 part f · 3 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a measure of success, plus 2 further marks for explaining this measure, for a maximum of 3 marks. • Market share can be used to measure the success of a business **(1).** Changes in market share will show how well or not the business is doing **(1)** and help them to make decisions for the business **(1).** **NB** Answers that list three measures of success with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Lower interest rates could lead to an increase in the demand for the popular Liberty Art Jam sessions. • The cost of borrowing comes down so *Artify Studio* could pay less on any loans they take out. **AO3** • *Artify Studio* may need to put on additional sessions to cater for the increase in demand, this will lead to an increase in costs but as sales increase this can cover this cost. • This will enable *Artify Studio* to have more funds available to increase advertising and bring in more customers.	**(6)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Measuring business success

Answer 1 of 13 · Question 1 part f · 3 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Measuring business success

Answer 1 of 13 · Question 1 part f · 3 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark

Type MS · Measuring business success

Answer 2 of 13 · Question 2 part d · 3 marks

2020 NOV · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**AO2 = 1 mark** Award 1 mark for a valid reason of business failure in the context of the business. • Ollie may not have enough experience of other musical instruments so costs could increase as he may have to employ a specialist musician (1). • An increase in the economy could lead to an increase in the demand of leisure activities and Ollie may not be able to cope with the demand (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 = 1 mark** Award 1 mark for a valid benefit of employing casual staff in the context of the business. • If *TADS* is successful it can employ music teachers for instruments other than drums when needed (1). • When *TADS* has quieter periods of business it can reduce the hours of the specialist teachers (1).	**(1)**

Type MS · Measuring business success

Answer 2 of 13 · Question 2 part d · 3 marks

2020 NOV · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**AO1 = 3 marks** Award 1 mark for identification of a purpose of market research, plus 2 further marks for explaining this purpose for a business, for a maximum of 3 marks. • A purpose of market research can be to identify your customers' needs (1) this will help you to design your products to meet those needs (1) and allow the business to be more successful (1). NB Answers that list three purposes with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**
Question Number	Answer	Mark
2 (d)	**AO1 = 3 marks** Award 1 mark for identification of a measure of business success, plus 2 further marks for explaining this measure for a business, for a maximum of 3 marks. • A measure can be through customer satisfaction (1). If customers are happy with the products/services they are likely to revisit the business (1) and this could lead to them recommending the business to friends and family (1). NB Answers that list three measures with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Measuring business success

Answer 2 of 13 · Question 2 part d · 3 marks

2020 NOV · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**AO1 = 3 marks** Award 1 mark for the identification of an impact of an increase in interest rates, plus 2 further marks for explaining that impact, for a maximum of 3 marks. • An increase in interest rates could lead to higher costs for a business (1). This can lead to a reduction in profits because each month the business must pay back part of the debt (1) and the interest charged on the loan will be higher (1). Answers that list three impacts of an increase in interest rates with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Measuring business success

Answer 2 of 13 · Question 2 part d · 3 marks

2020 NOV · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – By using commission *TADS* would encourage its teachers to find new pupils who want to learn music. • Option 2 – Increasing the hourly rate would encourage music teachers to work for longer hours. **AO3** • Option 1 – By recruiting more pupils teachers will be paid a commission on top of their hourly rate for teaching. • Option 2 – Teachers are more likely to remain with *TADS* as they believe they are being paid well for the work they do. **AO4** • Option 1 – However, the commission is a one-off payment and once paid the teachers would only receive their hourly rate, which may not be sufficient to continue to be employed by *TADS*. • Option 2 – However, if *TADS* cannot increase the number of pupils it may not be able to retain all of the teachers it currently employs.	**(9)**

Type MS · Measuring business success

Answer 2 of 13 · Question 2 part d · 3 marks

2020 NOV · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Measuring business success

Answer 2 of 13 · Question 2 part d · 3 marks

2020 NOV · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Measuring business success

Answer 3 of 13 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 1 of 7 · find part f in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Measuring business success

Answer 3 of 13 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Measuring business success

Answer 3 of 13 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

Type MS · Measuring business success

Answer 3 of 13 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Measuring business success

Answer 3 of 13 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Measuring business success

Answer 3 of 13 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 6 of 7 · find part f in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Measuring business success

Answer 3 of 13 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Measuring business success

Answer 4 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid way in which *TBTS* can measure its success in business in the context of *TBTS* • An increase in the revenue it earns from selling its toys **(1)** **NB** Do not accept a way that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Question Number	State **one** reason why *TBTS* might segment its market **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason *TBTS* might segment the market in the context of *TBTS* • *TBTS* will be able to aim its toys appropriately to different age groups **(1)** **NB** Do not accept a reason that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Type MS · Measuring business success

Answer 4 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** benefit to a business of having a flat organisational structure. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business of having a flat organisational structure, plus 2 further marks for explaining this benefit for a maximum of 3 marks • Businesses will have fewer levels **(1)** so lines of communication are shorter **(1)** leading to quicker decision-making **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** method a small business may use to increase its profit. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Cutting costs **(1)** such as reducing the number of employees **(1)** which could increase profit if revenue stays the same **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only **Accept any other appropriate response**	**(3)**

Type MS · Measuring business success

Answer 4 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** benefit to a business of using the Boston Matrix. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of using the Boston Matrix, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • The Boston Matrix helps a business to balance its product portfolio **(1)** showing if they have too many similar products **(1)** and can lead to identifying when they need to introduce a new product **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Type MS · Measuring business success

Answer 4 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	*TBTS* is considering two options: **Option 1:** using retained profits **Option 2:** getting a bank loan Justify which **one** of these two options *TBTS* should choose **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using retained profits *TBTS* can buy the toys immediately to sell in its toy shops • **Option 2** – *TBTS* will have to wait for a decision to be made by the bank before being able to buy the toys from new suppliers **AO3** • **Option 1** – This method does not need to be paid back so any profits made from the introduction of new toys will go back into the business • **Option 2** – *TBTS* may have more finance from a bank loan and can therefore buy a wider range of toys **AO4** • **Option 1** – However, *TBTS* can only use retained profits if they have any in the first place as it can take some time to build up profits to use in investing in new products. • **Option 2** – However, interest has to be paid back to the bank so this adds an additional cost to the business but can be paid back over a long period of time so *TBTS* can budget for this.	**(9)**

Type MS · Measuring business success

Answer 4 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Measuring business success

Answer 4 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
	Define the term **inventory.**	

Type MS · Measuring business success

Answer 5 of 13 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a reason why *Rabanne* ensures all its employees have job enrichment opportunities. • The employees making the perfume find their job more interesting **(1)** • Job enrichment gives employees the opportunity to try different types of jobs in the production of aftershaves **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response.	**(1)**

Type MS · Measuring business success

Answer 5 of 13 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Q. No.	State **one** way *Rabanne* could measure its success as a business. **Answer**	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid way *Rabanne* could measure its success in the context of the business. • *Rabanne* can measure its success by the increase in sales of Invictus **(1)** • *Rabanne* can compare its market share with that of other perfume businesses to see which is the most successful **(1)** **NB** Do not accept a way that is not in the context of *Rabanne*. Accept any appropriate response.	**(1)**

Q. No.	Explain **one** reason why some businesses fail. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why some businesses fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Poor cashflow can lead to failure **(1)** from a lack of finance **(1)** to pay suppliers and other debtors **(1)** • Prices could be too high and therefore not competitive **(1)** which could result in a fall in demand **(1)** leading to a lack of revenue **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Measuring business success

Answer 5 of 13 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Q. No.	Explain **one** reason why a business would use targeted advertising online to promote itself. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one reason why a business would use targeted advertising online to promote itself, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • The business can send information to customers who have purchased from them before **(1)** and are more likely to purchase again **(1)** which can lead to improved customer loyalty **(1)** • The business could promote to a specific demographic **(1)** using different online activities **(1)** which may lead to increased brand awareness **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** reason why businesses use statements of comprehensive income when making decisions. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one reason why businesses use statements of comprehensive income when making decisions, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • A business can see how the business is performing **(1)** and can calculate the profit margin **(1)** along with other calculations if the performance has deteriorated **(1)** • Businesses can use it to compare itself to similar businesses **(1)** which will enable them to judge its performance against competitors **(1)** giving an indication of how well the business is doing **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Measuring business success

Answer 5 of 13 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Q. No.	**Option 1:** communicate all information through text messaging/email **Option 2:** hold weekly meetings Justify which **one** of these two options *Rabanne* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – Email is a method that is used by everyone and can be sent from one location to another ensuring all employees are kept up to date on the packaging of the new aftershave • **Option 2** – Holding weekly meetings allows people to meet face to face and give their opinion on the new adverts for Lady Million **AO3** • **Option 1** – This would ensure that all *Rabanne* employees would be kept up to date on production changes • **Option 2** – Discussions can take place on any improvements or amendments that need to be made **AO4** • **Option 1** – However, if there is no internet signal then sending messages and receiving them would be difficult • **Option 2** – However, meetings are very time consuming and not everyone can make the meeting because of the distance between departments	**(9)**

Type MS · Measuring business success

Answer 5 of 13 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Measuring business success

Answer 5 of 13 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Q. No.	Define the term **just-in-time (JIT).** **Answer**	Mark

4 (a)	**A02 - 2 marks** 45 024/62 400 x 100 **(1)** = 72.15 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse factors that *Aude Rose* might consider when measuring the success of its business. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *Aude Rose* have grown by opening a larger shop in the centre of Paris • By moving to the centre of Paris it has made possible an increase in the number of people buying its flowers **AO3** • By moving to a larger shop in a better location *Aude Rose* has shown success by being able to pay the higher rent • This shows success of the business as there is a demand for its flowers and they are willing to increase the risk to the business by investing in a wider range of flowers	**(6)**

Type MS · Measuring business success

Answer 6 of 13 · Question 4 part b · 6 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Measuring business success

Answer 6 of 13 · Question 4 part b · 6 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Evaluate the usefulness of financial documents to help *Aude Rose* when deciding to open a second shop. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • The statement of comprehensive income can show the profit or loss the business has made by the end of its financial year • The figures can show how capable the business is of expanding **AO2** • This can help the business to see how profitable the flower shop currently is • This could draw in potential investors who are interested in the success of the flower shop **AO3** • This document will be useful to show *Aude Rose* how much profit it has to be able to put towards the expansion or inform a bank of how much it needs to lend • The financial documents will outline the current position of the business and could include a cash flow forecast projecting net cash flow in the future **AO4** • However, there are other factors that need to be considered such as figures from previous years as well as the affordability to run the new shop • However, other factors need to be taken into consideration such as the location of the competition which could make it difficult for the second flower shop to survive as a new business to that particular area.	**(12)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Measuring business success

Answer 6 of 13 · Question 4 part b · 6 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Measuring business success

Answer 6 of 13 · Question 4 part b · 6 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **autonomy.** • Giving workers the authority to make choices and decisions about the way they work **(1)**	**(1)**

Question Number	Outline **one** reason why *M&M* might locate a new factory near to a labour force. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *M&M* might locate its factories near to a labour force, plus 1 further mark for linking it to the context. • To have access to a wide pool of labour when the car plant opens **(1)** that pool to include production line workers and skilled technicians **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(2)**

Type MS · Measuring business success

Answer 7 of 13 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Calculate to 2 decimal places the current ratio for 2020. **Answer**	**Additional guidance**	**Mark**
3 (c)	**AO2 - 2 marks** 3 400/900 **(1)** = 3.78 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse why *M&M* would want to compare its business with other vehicle manufacturers. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *M&M* can compare its sales of cars with other businesses such as the Ford Motor Company • If Fiat introduce different models of tractors *M&M* may consider changing the design of their own tractors **AO3** • If *M&M*'s figures are not as good as Ford Motor Company, they may try to improve sales by offering discounts or other incentives to customers • There is no guarantee that if *M&M* introduces a new tractor that it will compete with Fiat's tractors	**(6)**

Type MS · Measuring business success

Answer 7 of 13 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Measuring business success

Answer 7 of 13 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	**Option 1:** job rotation **Option 2:** bonus **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By giving employees the opportunity to move to different jobs on or off the production line from manufacturing vehicle parts to help designing vehicle parts keeps them involved in all aspects of production • **Option 2** – A bonus payment if car manufacturing targets are met makes employees feel valued and they would want to continue working for *M&M* in the car road-testing section **AO3** • **Option 1** – Employees are more likely to remain with *M&M* than look for another job, as they are continually gaining new experiences and skills • **Option 2** – A bonus encourages employees to work harder to ensure they gain their bonus **AO4** • **Option 1** – However, employees may not be interested in job rotation as it may not increase their wages • **Option 2** – However, employees may not be interested in bonus payments if their bonus is based on everyone who works in the factory, as some employees may not work as hard as others	**(9)**

Type MS · Measuring business success

Answer 7 of 13 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Measuring business success

Answer 7 of 13 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Calculate, to 2 decimal places, the cost of the tractor in pounds sterling (GBP). **Answer**	Additional guidance	Mark

Type MS · Measuring business success

Answer 8 of 13 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **secondary sector.** • The sector that turns raw materials into finished goods **(1)**	**(1)**

Question Number	Outline **one** way *Café Pinch* could use social media to promote its business. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Café Pinch* could use social media to promote its business, plus 1 mark for linking it to the context of the business • If colour photographs of menu dishes were posted online **(1)** this could entice new customers **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch* **Accept any other appropriate response**	**(2)**

Question Number	Calculate, to two decimal places, the operating profit margin. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 66 842 – 5 782 = 61 060 **(1)** 61 060/103 825 x 100 = 58.81 **(1)**	Award 1 mark for correctly substituting numbers into formula Award full marks for correct numerical answer without working	**(2)**

Type MS · Measuring business success

Answer 8 of 13 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Analyse **two** factors *Café Pinch* might consider when measuring its success. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As the owner of *Café Pinch*, Kumaran can check the business objectives he has set for the business • Comparing the annual financial details of the café, such as profit from 2018 through to the present time **AO3** • The owner used his experience gained in other good restaurants to set up his own business so if it is running in the way he saw it running then this can be considered a success • If the profit has increased year-on-year this shows success of the business as there is a demand for the products it sells leading to loyal customers	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Measuring business success

Answer 8 of 13 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	*Café Pinch* is considering two options: **Option 1:** updating the noticeboard in the staffroom daily with information such as sales targets and staff rotas **Option 2:** weekly staff meetings. Justify which **one** of these two options *Café Pinch* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using a noticeboard keeps chefs and waiters updated about the café with the most up to date information about sales or meals achieved • **Option 2** – Having a weekly staff meeting allows the chefs and waiters to ask questions on any updates of the cafe **AO3** • **Option 1** – It can lead to an improved relationship between the owner and his employees as they will have the most up to date information making them feel valued and part of a team • **Option 2** – It can lead to improved communication as Kumaran can respond to queries straight away and clear up any misconceptions **AO4** • **Option 1** – However, unless all of the employees read the notices every day or if Kumaran forgot to update the notices daily then communication may not improve and any positive feelings of employees could be lost • **Option 2** – However, as all staff will be involved in the meetings they are likely to take place out of hours and some staff may not want to attend therefore miss out on important information	**(9)**

Type MS · Measuring business success

Answer 8 of 13 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Measuring business success

Answer 8 of 13 · Question 3 part d · 6 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Calculate the return on capital employed. **Answer**	**Additional guidance**	**Mark**

Type MS · Measuring business success

Answer 9 of 13 · Question 1 part g · 6 marks

2025 NOV · Paper 01 · extract 1 of 9 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C –** Sales promotion **A** – is not the correct answer as workforce planning is a role within the human resources function **B** – is not the correct answer as quality control is a role withing the production function **D** – is not the correct answer as training employees is a role in the human resources function	**(1)**

Question Number	Which **one** of the following is an example of a non-financial method of motivation? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is D –** Job rotation **A** – is not the correct answer as a bonus is a financial method of motivation **B** – is not the correct answer as remuneration is a financial method of motivation **C** – is not the correct answer as fringe benefits are financial methods of motivation	**(1)**

Type MS · Measuring business success

Answer 9 of 13 · Question 1 part g · 6 marks

2025 NOV · Paper 01 · extract 2 of 9 · find part g in this mark scheme extract

Question Number	Which **one** of the following is a phase of the product life cycle? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A** – Introduction **B** – is not the correct answer as a cash cow is a phase of the Boston matrix **C** – is not the correct answer as a dog is a phase of the Boston matrix **D** – is not the correct answer as a star is a phase of the Boston matrix	**(1)**

Question Number	Which **one** of the following is an example of a public service provided by the government? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Police force **A** - is not the correct answer as a clothing retailer is not a public service **C** – is not the correct answer as a mobile phone provider is not a public service **D** – is not the correct answer as a grocery store is not a public service	**(1)**

Type MS · Measuring business success

Answer 9 of 13 · Question 1 part g · 6 marks

2025 NOV · Paper 01 · extract 3 of 9 · find part g in this mark scheme extract

Question Number	Which **one** of the following is the interest charged by the bank on an overdraft of €1 400? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is B –** €168 **A** – is not the correct answer as €140 is 10% of €1 400 **C** – is not the correct answer as €1 388 is €1 400 minus 12 **D** – is not the correct answer as €1 568 is €1 400 plus 12%	**(1)**

Question Number	Which **one** of the following is the percentage change in the total costs between 2022 and 2023 **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 10.53% **A** – is not the correct answer as 0.90% is 380 000/420 000 **B** – is not the correct answer as 9.52% is 40 000/420 000 x 100 **D** – is not the correct answer as 90.48% is 380 000/420 000 x 100	**(1)**

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **primary sector.** • Businesses involved in the extraction of raw materials	**(1)**

Type MS · Measuring business success

Answer 9 of 13 · Question 1 part g · 6 marks

2025 NOV · Paper 01 · extract 4 of 9 · find part g in this mark scheme extract

Question Number	Define the term **shareholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **shareholder.** • Anyone who buys a share in a business **(1)**	**(1)**

Question Number	State **one** benefit to *Ocean Vibes* of using competition pricing. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Ocean Vibes* of using competition pricing. • *Ocean Vibes* may attract sales from other boat tour businesses **(1)** **NB** Do not accept a benefit that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Measuring business success

Answer 9 of 13 · Question 1 part g · 6 marks

2025 NOV · Paper 01 · extract 5 of 9 · find part g in this mark scheme extract

Question Number	Calculate the price of the boat tour in UK pounds (£). You are advised to show your working. **Answer**	Mark
1 (e)	**A02 - 2 marks** Award 2 marks for the correct answer. £57 **(2)** OR Award 1 mark for working 60 x 0.95 **(1)**	**(2)**

Type MS · Measuring business success

Answer 9 of 13 · Question 1 part g · 6 marks

2025 NOV · Paper 01 · extract 6 of 9 · find part g in this mark scheme extract

Question Number	Explain **one** advantage to an individual of being a sole trader. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to an individual of being a sole trader plus 2 further marks for explaining the advantage for a maximum of 3 marks. • The individual has complete control over the business **(1)** as they make all the decisions for the business **(1)** therefore decisions for the business can be made quickly **(1)** • The individual keeps all the profits **(1)** as they have no partners/shareholders within the business **(1)** which means that they can increase their personal wealth **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to an individual of being a sole trader with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Measuring business success

Answer 9 of 13 · Question 1 part g · 6 marks

2025 NOV · Paper 01 · extract 7 of 9 · find part g in this mark scheme extract

Question Number	Analyse why *Ocean Vibes* should measure employee satisfaction. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Measuring employee satisfaction at *Ocean Vibes* will help it to retain its tour guides who operate the dolphin and bird tours • If employees at *Ocean Vibes* are satisfied, they will be motivated to provide good quality boat tours **AO3** • This will reduce recruitment and training costs for *Ocean Vibes* which may lead to higher levels of profitability • This may lead to good reviews from customers which may encourage good recommendation and increased sales	**(6)**

Type MS · Measuring business success

Answer 9 of 13 · Question 1 part g · 6 marks

2025 NOV · Paper 01 · extract 8 of 9 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Measuring business success

Answer 9 of 13 · Question 1 part g · 6 marks

2025 NOV · Paper 01 · extract 9 of 9 · find part g in this mark scheme extract

Question Number	State **one** fixed cost *Ocean Vibes* is likely to pay. **Answer**	**Mark**

Type MS · Measuring business success

Answer 10 of 13 · Question 2 part f · 9 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid financial method of motivation *CCT* could use with its employees. • Commission paid for each customer booked on a cycle tour **(1)** **NB** Do not accept a factor that is not in the context of *CCT.* **Accept any other appropriate response.**	**(1)**

Type MS · Measuring business success

Answer 10 of 13 · Question 2 part f · 9 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question Number	State **one** benefit to *CCT* of satisfying customer needs. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid benefit to *CCT* of satisfying customer needs. • Its customers will recommend the cycle tours to friends and family **(1)** **NB** Do not accept a benefit that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Explain **one** way a business could increase its profit. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a way a business could increase its profit, plus 2 further marks for explaining this way, for a maximum of 3 marks. • Increase the price of the product **(1)** if customers feel the quality is high they may be willing to pay the new price **(1)** and if costs stay the same profit will increase **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Measuring business success

Answer 10 of 13 · Question 2 part f · 9 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** way that the introduction of tariffs might affect a business importing goods. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a way that the introduction of tariffs might affect a business importing goods, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • Imported products will now become more expensive **(1)** because of the tax imposed on imports **(1)** which may lead to a decrease in sales for the importer **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Question Number	Explain **one** reason why quality control is important to a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why quality control is importance to a business, plus 2 further marks for explaining that reason, for a maximum of 3 marks. • Improved customer satisfaction **(1)** as defects would be identified before goods are despatched to customers **(1)** leading to fewer returns from customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Measuring business success

Answer 10 of 13 · Question 2 part f · 9 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question Number	The owner of *CCT* wants to measure the success of the business. The owner is considering two options: **Option 1:** customer satisfaction **Option 2:** profit Justify which **one** of these two options the owner of *CCT* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Customer satisfaction will indicate to *CCT* how happy customers are with the level of the bicycle touring service • **Option 2** – a high level of profit will show *CCT* they can provide the bicycle tours at a cost which is lower than the price they are selling them for **AO3** • **Option 1** – Customer satisfaction would be a useful measure of success since it would tell *CCT* the strengths of its brand and what customer are happy with • **Option 2** – it would be a useful measure as it will show that the business is financially viable and it can cover any costs incurred **AO4** • **Option 1** – However, it is difficult to measure customer satisfaction accurately as it relies on customers leaving reviews and providing honest feedback of their experiences • **Option 2** – However, profit can be affected by short-term fluctuations in the market, making it difficult to measure success over a longer period of time	**(9)**

Type MS · Measuring business success

Answer 10 of 13 · Question 2 part f · 9 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Measuring business success

Answer 10 of 13 · Question 2 part f · 9 marks

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Define the term **share capital.** **Answer**	Mark

Type MS · Measuring business success

Answer 11 of 13 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

4 (a)	**A02 = 2 marks** 64 650 – 42 450 = 22 200 (1) 22 200/54 550 = 0.41 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**
Question Number	Indicative content		Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Banks may need details of the financial situation of *HRMW* to assess the risk to them of granting a loan for the new sporting products. • The banks would want to look at the accounts for several years to see if there is a pattern or trend in *HRMW*'s success and if it has any large debts. **AO3** • The banks would want to see if *HRMW* has sufficient funds to pay back not only the loan but also the interest. • If *HRMW* can prove that it has traded successfully for a number of years, it might receive a lower rate of interest on any loan.		**(6)**

Type MS · Measuring business success

Answer 11 of 13 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Measuring business success

Answer 11 of 13 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • *HRMW* can judge its success by looking at changes in its revenue. • *HRMW* can also measure its success by customer satisfaction. **AO2** • Between 2020-2022 *HRMW*'s estimated revenue is set to increase by 8.51%. • If customers are satisfied with the goods, they will return to *HRMW*. **AO3** • If *HRMW* compares its revenues with those of its competitors, it gives it an indication of its relative success. • If customers are happy with the sports products, they will spread the word to family and friends, which could increase demand for these products leading to increased sales. **AO4** • However, revenue is only a part of the success of the business. There are other factors to be considered such as shareholders receiving dividends on their investment and this may conflict with *HRMW*'s plans for expansion. • However, customer satisfaction may require changes in prices, and this could impact on revenue and profits, leading to a less successful business.	**(12)**

Type MS · Measuring business success

Answer 11 of 13 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Measuring business success

Answer 11 of 13 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Measuring business success

Answer 11 of 13 · Question 4 part c · 12 marks

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

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Type MS · Measuring business success

Answer 12 of 13 · Question 4 part c · 12 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

4 (a)	A02 - 2 marks 300 000/220 000 (1) = 1.36 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits to NOF of using personal savings to expand its product range Indicative content	Mark
4 (b)	AO2 – 3 marks AO3 – 3 marks AO2 • NOF can start making ice cream immediately as they have the money. • Amanda and Ken will not have to pay any money back to their bank. AO3 • By using personal savings NOF does not have to go through a lengthy process of taking out a loan. • As there is no loan there is no need to be concerned about monthly repayments/interest and any profit gained can be used to put back into the business.	**(6)**

Type MS · Measuring business success

Answer 12 of 13 · Question 4 part c · 12 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Measuring business success

Answer 12 of 13 · Question 4 part c · 12 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Evaluate the factors that NOF might consider when measuring the success of its farm shop. You should use the information provided as well as your own knowledge of business Indicative content	Mark
4 (c)	AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO1 • The profit produced by the farm shop • The growth of its product range. AO2 • NOF will be able to see how much profit the farm shop is making compared to the overnight accommodation. • NOF is looking at expanding its product range which shows it is currently successful in the products it already sells. AO3 • By comparing how much profit is made in the farm shop then NOF can spend money improving the areas that need developing. • This shows success of the business as there is a demand for the products it produces and it is willing to take a risk by expanding that range. AO4 • However, an increase in profit is dependent upon many other factors outside the control of NOF such as the weather as this could impact heavily on how much the farm is producing or how many people want to come and visit the farm shop. • However, there is no guarantee that this growth will be a success at a time when supermarkets sell the same products cheaper than NOF and other farms can afford to do.	**(12)**

Type MS · Measuring business success

Answer 12 of 13 · Question 4 part c · 12 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5– 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Measuring business success

Answer 12 of 13 · Question 4 part c · 12 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Measuring business success

Answer 12 of 13 · Question 4 part c · 12 marks

2021 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

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4 (a)	**AO2 - 2 marks** 1.76 **(2)** 1 mark for workings if correct answer not given 9 566/5 447 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	Analyse the importance of making sure that guests have a quality service when staying at a *Premier Inn*. **Indicative content**		**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • If the reception staff at the hotel are helpful and accommodating to the guests, they are more likely to return • If the hotel room has all the amenities that guests require such as tea and coffee facilities **AO3** • Which could increase the number of bookings and the potential profit for *Premier Inn* • Guests may tell friends and family about the excellent facilities and service they received whilst staying at the *Premier Inn*		**(6)**

Type MS · Measuring business success

Answer 13 of 13 · Question 4 part c · 12 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Measuring business success

Answer 13 of 13 · Question 4 part c · 12 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Evaluate why a business such as *Premier Inn* would only consider profit to measure its success. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • The more profit that is made from each *Premier Inn* will show how successful they are • Profit signifies if the total revenue of the business exceeds the total costs • **AO2** • *Premier Inn* will be able to see how much profit each hotel is making and compare it to other hotels • *Premier Inn* is planning to open more hotels in different parts of the world and will be able to see if these new hotels are making a profit **AO3** • By comparing the profit from each of the *Premier Inn*'s it can use the profit to develop or increase the size of certain hotels • By planning to open more hotels this shows how successful the business is with guests who return to stay **AO4** • However, an increase in profit is dependent upon many factors outside the control of *Premier Inn*, such as travel restrictions that stop people from travelling • However, there are other ways to measure business success such as market share and customer satisfaction, which might be as equally important as financial measures	**(12)**

Type MS · Measuring business success

Answer 13 of 13 · Question 4 part c · 12 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
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Type MS · Measuring business success

Answer 13 of 13 · Question 4 part c · 12 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

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Type MS · Measuring business success

Answer 13 of 13 · Question 4 part c · 12 marks

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